

The Lira Doesn't Lie: Institutional Foundations of Currency Depreciation in Turkey

*Monetary Credibility, Current Account Imbalances, and the Political Economy of Exchange
Rate Decline*

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Introduction — The Lira Doesn't Lie

When a currency collapses, the instinctive explanation is monetary: interest rates were set incorrectly, money supply grew too rapidly, or the central bank failed to act with sufficient decisiveness. These explanations are not wrong. They are, however, incomplete — and their incompleteness matters, because a diagnosis that identifies only the proximate cause of a crisis will produce remedies that address only its surface manifestations, leaving the underlying condition untreated.

The Turkish lira has lost more than four hundred percent of its value against the dollar since 2008. It has done so not in a single crisis, but through a sustained, multi-decade process of depreciation interrupted by periodic stabilisation attempts, each of which has proven insufficient to break the underlying dynamic. Six zeros were removed from the currency in 2005 in an effort to restore confidence; the structural conditions that had necessitated that redenomination were not removed with them. Successive governments have appointed and dismissed central bank governors, adjusted interest rates upward and downward, intervened in foreign exchange markets, and implemented emergency stabilisation programmes. The lira has continued its long decline.

This essay argues that the depreciation of the Turkish lira is not, at its root, a monetary phenomenon. It is an institutional one. The currency's persistent weakness is the legible expression of a set of structural conditions — chronic productive insufficiency, compulsive external financing dependency, and the systematic erosion of the independent institutions on which investor confidence and monetary credibility depend — that no interest rate decision alone can resolve. The lira does not merely reflect the consequences of particular policy choices. It reflects the consequences of a political economy in which economic institutions have been progressively subordinated to executive authority, in which the rule of law has been hollowed out, and in which the costs of ideological governance have been transferred, with remarkable consistency, from those who govern to those who are governed.

To understand why the lira falls, one must look beyond the exchange rate. One must look at what the exchange rate is measuring.

Section I — A Currency in Decline: The Historical Record

The depreciation of the Turkish lira is not a recent phenomenon, nor is it adequately explained by the policy decisions of any single administration. Its roots extend to the structural economic conditions of the 1960s, when Turkey's accelerating import dependency — driven by industrialisation strategies that relied heavily on foreign inputs and capital goods — began to generate persistent pressure on the currency. The pattern that emerged in those decades has proven remarkably durable: an economy that consistently imports more than it exports, finances the difference through external borrowing, and periodically encounters the consequences of that dependency in the form of currency crises and inflationary episodes.

The historical record is punctuated by crises of varying severity. The most acute came in 2001, when a banking sector collapse and a sudden stop in capital inflows produced a catastrophic depreciation that effectively destroyed the purchasing power of the lira accumulated over decades of chronic inflation. By that point, the cumulative effect of sustained price instability had reduced the currency to a denomination so debased that ordinary transactions required figures in the millions: the exchange rate had deteriorated from approximately nine lira per dollar in the late 1960s to 1,650,000 lira per dollar by 2001 — a trajectory representing average annual inflation of approximately 38 percent over three decades. The government's response, in 2005, was to redenominate the currency, removing six zeros and issuing a new Turkish lira. The symbolic intent was clear: a fresh start, a break from the inflationary past. The structural conditions that had produced that past, however, remained largely unaddressed.

The subsequent trajectory confirmed as much. From 2008 onward, the lira entered a period of sustained, if uneven, depreciation against major currencies. The pace accelerated markedly in the late 2010s and early 2020s, as monetary policy unorthodoxy and the erosion of central bank independence compounded the underlying structural pressures. By June 2025, the exchange rate had surpassed 46 lira per dollar — representing a depreciation of approximately 400 percent since 2008 alone — with the currency having lost a further seven percent of its value in the first half of that year. The redenomination of 2005 had changed the numbers. It had not changed the dynamic.

Section II — The Monetary Policy Explanation and Its Limits

The most frequently cited explanation for the Turkish lira's depreciation focuses on monetary policy — specifically, on the sustained period of unorthodox interest rate management that characterised Turkish economic governance between 2021 and 2023. This explanation is not incorrect. It is, however, incomplete. It identifies the accelerant without identifying the fire.

The proximate cause of the 2021 currency crisis was a policy of aggressive interest rate cuts pursued in the face of rising inflation. The intellectual justification offered by President Erdoğan — that high interest rates cause inflation rather than suppress it, a position he characterised as consistent with Islamic financial principles — represented a direct inversion of the consensus framework of modern monetary economics. The claim was not merely heterodox; it was, in the judgment of virtually every mainstream economist, empirically indefensible. Yet it was translated

into policy with consequences that were both predictable and severe. As the central bank cut rates through the second half of 2021, the lira entered freefall. What began as a policy experiment became, rapidly, a crisis beyond the government's capacity to manage through conventional instruments.

The deeper significance of this episode lies not in the interest rate decisions themselves, but in the institutional conditions that made them possible. Between 2019 and 2023, Turkey dismissed five central bank governors — none completing a full term. Each removal followed the same pattern: a governor who resisted political pressure to loosen monetary policy was replaced by one more amenable to the government's preferences. The institution nominally responsible for price stability had been reduced to an instrument of political management. When technically sound decisions conflicted with the government's electoral calculus, the decisions were reversed and the decision-maker replaced. The rotating cast of governors served a secondary function as well: each departure provided a convenient scapegoat, a figure on whom the consequences of the preceding policy could be blamed before the cycle began again.

The post-pandemic environment rendered this institutional fragility acutely dangerous. As global economies navigated the delicate transition from emergency stimulus to normalisation, Turkey's monetary framework — already compromised — was subjected to a further shock. Rather than tightening policy in response to emerging inflationary pressures, as orthodox economics prescribed and as peer emerging market economies were beginning to do, Turkey accelerated in the opposite direction. The inflation that followed was not a surprise. By mid-2022, annual consumer price inflation had exceeded eighty percent. The damage to household purchasing power, to business planning horizons, and to confidence in the lira as a store of value was substantial — and, critically, persistent. The inflationary episode initiated in 2021 has not been fully resolved five years later.

The appointment of Mehmet Şimşek as Finance Minister in 2023 represented an acknowledgment, however belated, that the unorthodox experiment had failed. The return to orthodox policy — rapid interest rate increases, fiscal tightening, and a more realistic exchange rate — produced measurable stabilisation. Yet stabilisation is not the same as structural repair. The institutional damage accumulated over a decade of political interference in monetary policy cannot be undone by a change of personnel alone. Credibility, once destroyed, is rebuilt slowly and conditionally — and only if the political conditions that enabled its destruction have themselves been altered.

Section III — Structural Foundations: The Current Account and the Erosion of Institutional Trust

The depreciation of the Turkish lira cannot be understood in isolation from the structural economic conditions that make Turkey persistently vulnerable to currency pressure. Chief among these is the chronic current account deficit — a feature of the Turkish economy so durable that it must be understood not as a cyclical imbalance but as a structural condition embedded in the

productive capacity of the economy itself.

The root cause is a fundamental mismatch between what Turkey produces and what it consumes. Turkey's industrial and agricultural base, despite decades of growth, has not developed the productive capacity commensurate with the demands of a population of eighty-five million. Insufficient investment in manufacturing, agriculture, and technological development has left the economy structurally dependent on imports across a wide range of sectors — from energy and intermediate goods to consumer products that a more developed productive base would supply domestically. The consequence is mechanical: an economy that imports systematically more than it exports will generate a current account deficit as a matter of arithmetic, regardless of the prevailing exchange rate or monetary policy stance. Turkey has recorded a current account deficit every year since 2002, with the annual shortfall reaching 49.6 billion dollars in 2023 alone. Without a structural transformation of the economy's productive capacity — through sustained investment in industry, agriculture, and technological capability — this deficit will not be resolved. It will compound.

The financing of this deficit introduces a second structural vulnerability. A country that spends more than it earns internationally must attract foreign capital to bridge the gap. For much of the 2000s and early 2010s, Turkey succeeded in doing so: strong growth, relative institutional stability, and favourable global liquidity conditions made it an attractive destination for foreign direct investment and portfolio flows. That attractiveness has diminished substantially. The reasons are institutional rather than purely economic.

Foreign investors require, at minimum, confidence that contracts will be honoured, that property rights will be respected, and that the legal framework governing their investments will be applied consistently and independently of political considerations. In Turkey, each of these conditions has been progressively undermined. The subordination of the judiciary to executive authority, the erosion of the rule of law, the politicisation of regulatory institutions, and the broader consolidation of authoritarian governance have collectively destroyed the confidence that foreign capital requires. Turkey's rankings on international indices measuring rule of law and institutional quality have deteriorated markedly over the past decade — a deterioration that is not merely a reputational concern but a material economic liability. As institutional trust has declined, so has the foreign direct investment that once helped finance the current account deficit. The gap left by retreating long-term capital has been filled, to the extent it has been filled at all, by more volatile short-term flows — portfolio investment and external borrowing that can reverse rapidly when global risk sentiment shifts or when domestic political shocks, such as the arrest of opposition figures, remind investors of the fragility of the institutional environment.

The result is a compounding vulnerability. A structurally weak productive base generates a persistent current account deficit. That deficit requires external financing. The erosion of institutional trust reduces the supply of stable long-term financing. The economy becomes dependent on volatile capital flows that are sensitive to political shocks. Political shocks, when they occur, trigger capital outflows. Capital outflows depreciate the lira. Lira depreciation raises import

costs, fuels inflation, and widens the current account deficit further. The cycle is self-reinforcing — and it originates not in any single policy decision, but in the accumulated institutional deterioration of a decade.

Section IV — The Reckoning Deferred: Can Turkey Break the Cycle?

The appointment of Mehmet Şimşek as Finance Minister in 2023 was received, in some quarters, as evidence that Turkey had turned a corner — that the unorthodox experiment had been abandoned and that a return to orthodox economic management would, in time, restore the conditions for sustainable stability. The stabilisation measures that followed were real: interest rates were raised substantially, fiscal discipline was tightened, and the exchange rate was allowed to adjust toward a more realistic level. Inflation, while still elevated, began a gradual decline from its peak.

Yet stabilisation and structural repair are not the same thing. The Şimşek programme addresses the symptoms of Turkey's economic dysfunction with considerable technical competence. It does not — and arguably cannot, within the existing political framework — address its causes. The chronic current account deficit remains a structural feature of an economy whose productive base has not been transformed. The erosion of institutional trust, accumulated over more than two decades of progressive democratic backsliding, cannot be reversed by a change of finance minister. And the political conditions that enabled the original destruction of monetary credibility — the concentration of executive authority, the subordination of independent institutions to political will, the absence of meaningful accountability mechanisms — remain intact. Şimşek's programme is, in this sense, a sophisticated exercise in crisis management rather than a programme of genuine structural reform. It buys time. It does not alter the underlying equation.

The Turkish public understands this intuitively. After twenty-two years of Erdoğan's governance, the reservoir of institutional trust — in the central bank, in the judiciary, in the currency itself — has been depleted to a degree that cannot be replenished by technocratic competence alone. Trust in institutions is built slowly, through consistent behaviour over extended periods, and destroyed quickly, through the kind of political interference that has characterised Turkish economic governance for much of the past decade. Its reconstruction requires not merely better policy, but a different political settlement — one in which independent institutions are genuinely insulated from executive pressure, in which the rule of law is applied consistently, and in which economic governance is accountable to citizens rather than to the preferences of a single political actor. Whether such a settlement is achievable under the current government is, at best, an open question. The evidence of the past two decades suggests it is not.

The broader lesson that emerges from the Turkish case extends beyond the specifics of exchange rate policy or monetary frameworks. It concerns the relationship between political authority and economic governance in authoritarian contexts — and the ease with which a determined government can transform an entire economy into a laboratory for its own ideological preferences. Turkey's lira crisis is, at its deepest level, the story of what happens when a society's

economic institutions are subordinated to the convictions of a single political actor: when the accumulated knowledge of economic science is dismissed in favour of ideological certainty, when the institutional safeguards designed to prevent exactly this kind of capture are dismantled one by one, and when the costs of these decisions are borne not by those who made them, but by the population at large. The lira does not lie. It records, with precision, the price that ordinary citizens pay for the governance they have been given.
